

Credit Risk Report & Strategic Actions

| Targeted controls can significantly reduce high-risk exposure.

A data-driven deep dive into portfolio risk, default patterns, and actionable mitigation strategies.

PORTFOLIO ANALYSIS

STRATEGIC ACTIONS

Total Customers

32.6K

Total Loan Amount

₹312.4
M

Default Rate

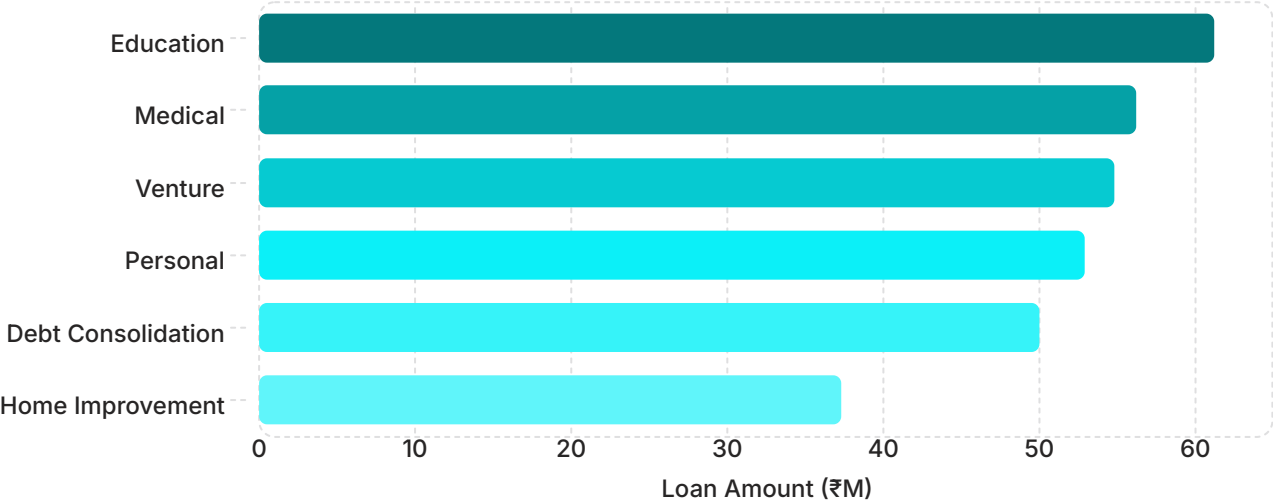
21.8%

High Risk
Customers

248

Loan Portfolio at a Glance

Loan Purpose



Education has the largest loan volume at ₹61.2M, followed closely by Medical and Venture loans.

Avg. Interest Rate

11%

Avg. Loan Amount

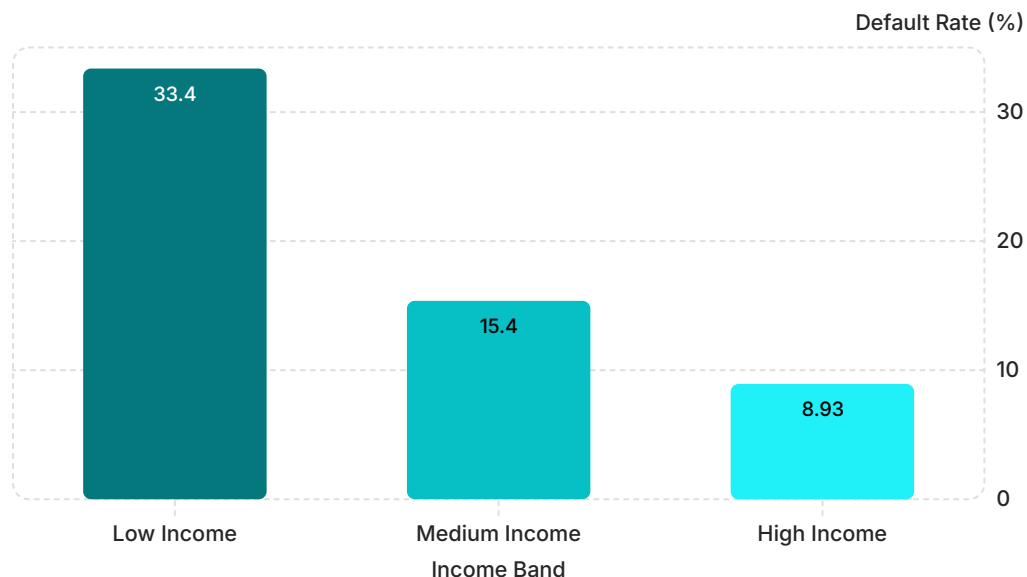
₹9.6K

Avg. Income

₹66.1K

ⓘ Education leads loan volume at ₹61.2M — 64% higher than the lowest-volume category (Home Improvement).

Income is the Strongest Predictor of Default



Default rate drops dramatically as income rises — Low Income borrowers default at nearly **4× the rate** of High Income borrowers.

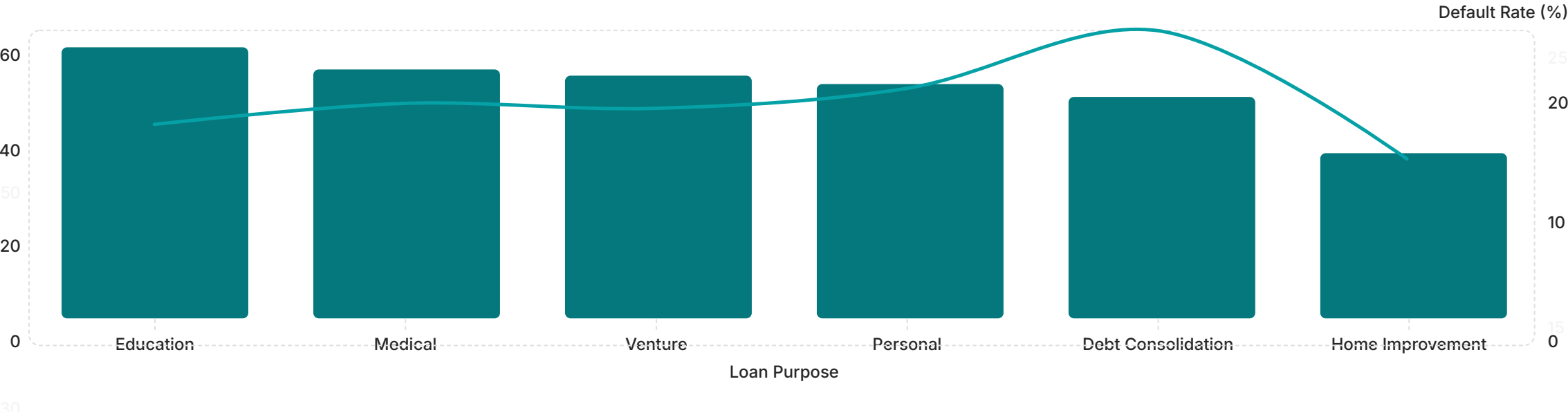
Default Rate by Loan Size & Income Band

Income Band	Large Loan	Medium Loan	Small Loan
Low Income	70.31%	38.4%	22.1%
Medium Income	28.7%	17.2%	10.5%
High Income	14.3%	9.1%	5.8%

⊗ **Highest Risk Combination:** Low Income + Large Loan = **70.31% default rate** — the most critical risk segment in the portfolio.

Debt Consolidation Loans Carry the Highest Default Risk

■ Loan Amount (₹M) — Default Rate (%)

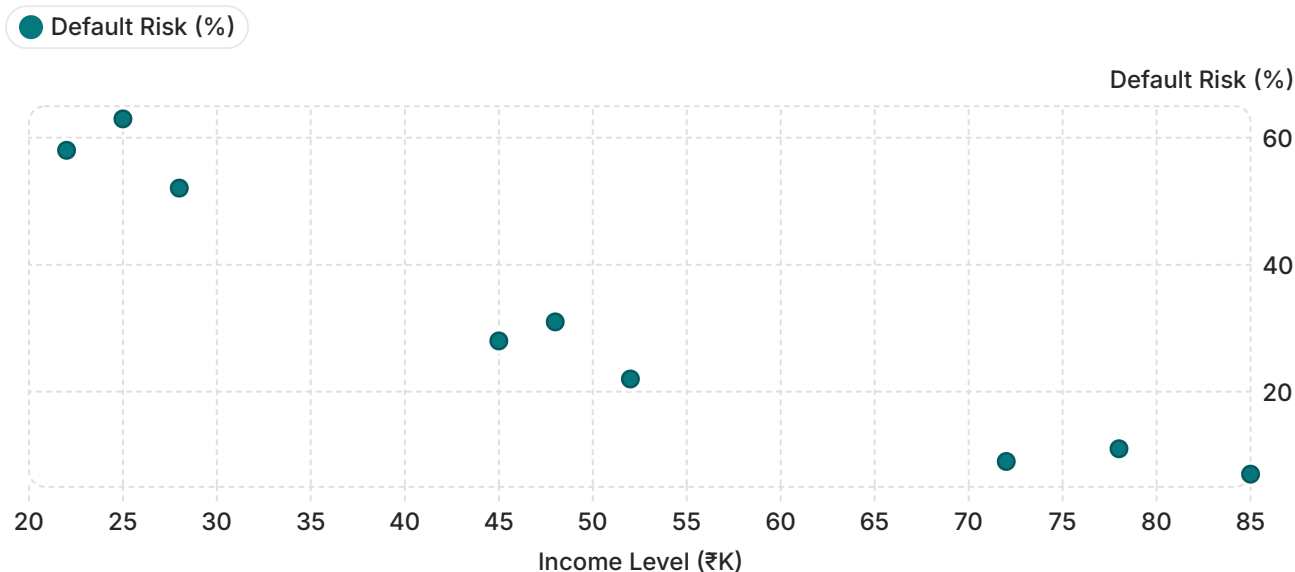


Despite having moderate loan volume of ₹50M, Debt Consolidation carries the highest default rate at ~26% — well above all other loan categories.

 **Key Driver:** Financially stressed borrowers at origination drive this trend — these customers are already in financial difficulty when they take

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Risk-Value Matrix: Segmenting Customers by Income & Risk



High Risk Cluster

Low-income borrowers concentrated at 50–65% default risk. High LTI overlap. Immediate intervention required.

Medium Risk Cluster

Mid-income borrowers at 20–35% default risk. Manageable with targeted screening enhancements.

Low Risk Cluster

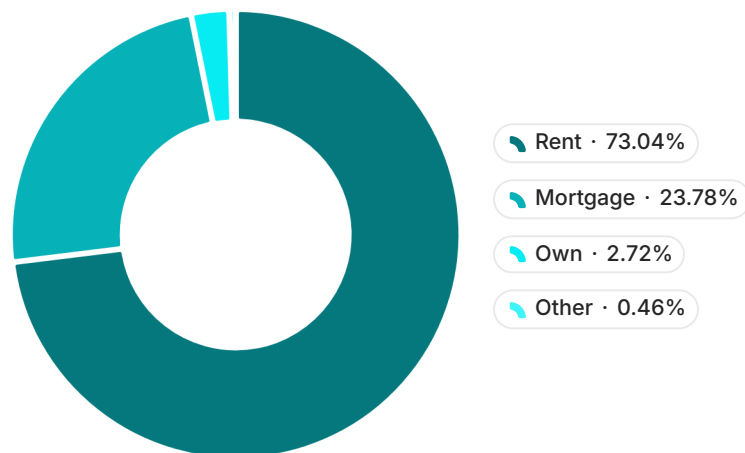
High-income borrowers below 15% default risk. Portfolio's most stable and profitable segment.

Three distinct risk clusters emerge when mapping income level against default risk across the portfolio.

i Low-income, high-LTI customers cluster in the high-risk zone — confirming LTI and income as the primary risk signals.

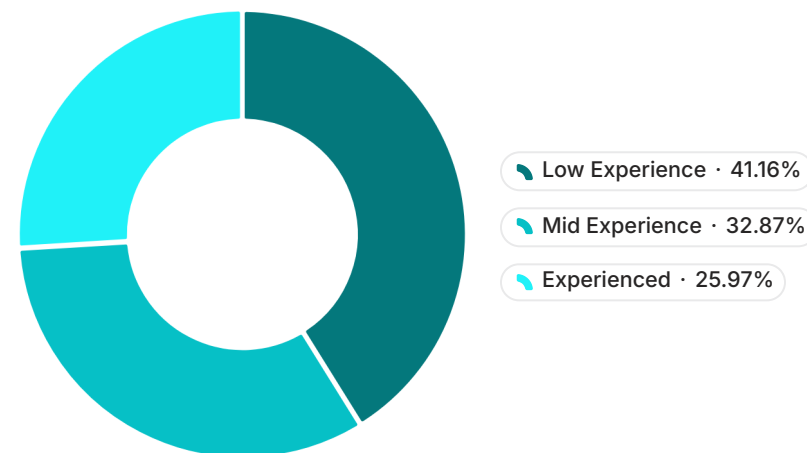
Renters & Low-Experience Workers Drive 73%+ of Defaults

Default Exposure by Home Ownership



Renters account for **73.04%** of total default exposure — the dominant risk driver by housing status.

Default Rate by Employment Experience



Low-experience workers carry a **41.2%** default rate — nearly 60% higher than experienced borrowers.

⊗ **Key Insight:** Young renters with limited employment history represent the highest-risk borrower profile — combining two of the strongest individual default predictors.

⚠ HIGH RISK ALERT

Highest Risk Segment Identified — Immediate Action Required

⊗ Concentrated risk in this segment is significantly impacting portfolio performance. Immediate underwriting review is recommended.

Riskiest Borrower Profile

Loan Purpose: Debt Consolidation

LTI Band: Above 40%

Income Band: Low Income

Age Band: 25–34

Home Ownership: Rent

Default Amount

₹54.2M

70.4% of total default exposure

Segment Default Rate

38.62%

vs. overall portfolio rate of
21.82%

This single segment contributes **70.4%** of total defaults while representing a concentrated sub-group — a critical concentration risk requiring policy-level intervention.

Three Actions to Reduce Default Exposure



Implement Strict LTI Controls

Reject or escalate to manual review all loan applications where Loan-to-Income ratio exceeds **40%**. Apply enhanced stress-testing for applications in the 30–40% band.

Expected Impact: Materially reduce defaults driven by high loan burden — targeting the 62.6% default rate segment directly.



Limit High-Risk Loan Exposure

Apply stricter underwriting criteria for **Debt Consolidation** loans — including income verification, mandatory financial counseling, and lower LTI caps for this category.

Expected Impact: Lower default exposure from the highest-risk loan purpose, currently carrying a ~26% default rate.



Enhance Screening for Renters

Add verification requirements, minimum down payment thresholds, or co-applicant mandates for borrowers with **Rent** home ownership status, particularly in the 18–34 age band.

Expected Impact: Mitigate risk from the segment contributing 73%+ of total default exposure.

Key Takeaways & Alerts

⚠️ LTI Concentration Risk

High LTI (>40%) loans are increasing in the Debt Consolidation segment — creating compounding default risk at the intersection of the two highest-risk factors.

⚠️ Renter Exposure Dominance

Rent customers contribute **73%+** of total defaults. Home ownership status is a critical screening variable that must be weighted more heavily in risk scoring.

⚠️ Young Low-Income Borrowers

Low Income borrowers aged **18–34** require immediate risk mitigation — combining income vulnerability with limited credit history and high LTI tendencies.

✅ Final Recommendation

Targeted risk controls across **LTI thresholds, loan purpose, and renter borrower profiles** can materially improve portfolio quality and reduce the **₹77M default exposure**.

Implementing all three strategic actions in combination is projected to deliver the greatest reduction in portfolio default risk while preserving loan volume growth.

Total Default
Exposure

₹77M

Addressable via
Controls

~70%